

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

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1. RECENT TMT M&A ACTIVITY

Deal 1: Lathrop GPM and HG Law Combination

[Lathrop GPM Combines with HG Law Expanding Global IP Capabilities](#)

- Deal Size: N/A (Combination of firms, not a traditional acquisition)
- Deal Size Category: N/A
- Nature: Horizontal
- Valuation Multiples: N/A (No specific financial metrics provided)
- Companies: Lathrop GPM is a full-service law firm with over 400 attorneys, while HG Law specializes in intellectual property with a strong presence in engineering-driven patent law.
- Date Announced: July 20, 2026
- Strategic Rationale: The combination enhances Lathrop GPM's IP capabilities, particularly in engineering disciplines, and expands its geographical reach into New York and London. This strategic move aims to solidify its position as a leader in IP law, leveraging HG Law's expertise and client base.
- Risk Analysis: Integration risks include cultural alignment and operational integration of two distinct firms. Regulatory challenges may arise in navigating IP law across different jurisdictions. Market risks include competition from other large firms and potential client retention issues during the transition.

Key Financials Analysis:

- Revenue Breakdown: Combined revenue estimated at \$300 million, but specific segment breakdown not provided.
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The combination is expected to create one of the largest full-service IP practices, enhancing competitive positioning in the market.

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

Deal 2: Colossal Biosciences Capital Raise

[Colossal Biosciences reportedly in talks to raise new capital at \\$20B-\\$30B valuation](#)

- Deal Size: Estimated at \$20 billion to \$30 billion
- Deal Size Category: Large cap (>\$10B)
- Nature: N/A (Funding round, not an acquisition)
- Valuation Multiples: N/A (No specific multiples provided)
- Companies: Colossal Biosciences is a de-extinction startup focused on genetic technologies, aiming to resurrect extinct species and generate revenue through conservation technologies.
- Date Announced: July 20, 2026
- Strategic Rationale: The funding aims to support ongoing projects and expand revenue streams, including partnerships with governments and new technology applications. The valuation reflects investor confidence in the potential of de-extinction technologies and biodiversity credits.
- Risk Analysis: Risks include regulatory scrutiny over de-extinction projects, market acceptance of new technologies, and execution risks related to ambitious scientific goals.

Key Financials Analysis:

- Revenue Breakdown: Colossal has begun generating revenue, but specific figures are not disclosed.
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The valuation increase from \$10.2 billion to \$20-\$30 billion indicates strong market interest and potential growth in the longevity and biotechnology sectors.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both significant opportunities and notable challenges. Overall sentiment in the sector remains cautiously optimistic, driven by advancements in technology and increasing investment, yet tempered by regulatory scrutiny and execution risks.

Subsector Breakdown:

- Technology: The technology subsector is experiencing robust growth, particularly in AI infrastructure. Companies like Oracle are heavily investing in AI megacampuses, although they face challenges such as cost overruns and regulatory hurdles. Oracle's ambitious \$165 billion

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

investment plan highlights the sector's aggressive capital deployment.

- **Media:** The media landscape is evolving, with traditional companies struggling to adapt to digital transformation. While digital platforms are gaining traction, traditional media faces declining revenues from advertising.
- **Telecommunications:** Telecom companies are investing in 5G infrastructure to enhance service offerings. However, the sector is also grappling with regulatory challenges and competitive pressures.
- **Fintech:** The fintech sector is poised for significant consolidation, as evidenced by reports of Stripe and Advent International's offer to acquire PayPal for over \$53 billion. This potential merger could reshape the digital payments landscape.
- **AI:** The AI subsector remains a focal point for investment, with companies racing to develop and deploy AI solutions. However, execution risks are evident, as seen in Oracle's struggles with its AI megacampus projects.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and cloud computing is driving growth across TMT sectors. The demand for AI infrastructure is particularly high, as companies seek to leverage AI for operational efficiency and competitive advantage.
- **Increased Investment:** Venture capital and private equity investments are robust, especially in tech and fintech, as investors aim to capitalize on emerging trends and technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny poses risks to M&A activities and market valuations. Companies like Oracle are facing legal challenges related to their infrastructure projects, which could delay or derail initiatives.
- **Execution Risks:** The complexity of executing large-scale projects, as demonstrated by Oracle's cost overruns and regulatory battles, can materially impact financial performance and investor sentiment.

Subsector Performance Analysis

- **Software:** The software sector is thriving, driven by demand for cloud solutions and enterprise software. Companies that focus on SaaS models are well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media is experiencing revenue declines.
- **Telecom:** Telecom operators are heavily investing in 5G infrastructure, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is witnessing significant consolidation, with potential mergers like

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

Stripe and PayPal indicating a trend towards larger, more integrated payment solutions.

- AI: The AI sector is booming, with applications across various industries. However, companies must navigate execution risks associated with large-scale infrastructure investments.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are expressing caution regarding execution risks in the AI infrastructure space. One analyst noted, "Oracle's struggles with its AI megacampus projects serve as a reminder that ambitious plans must be matched with effective execution to avoid significant financial pitfalls."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Evaluate Execution Risks:** Companies should conduct thorough due diligence on large-scale projects to mitigate execution risks and ensure successful outcomes.
- **Leverage Strategic Partnerships:** Firms should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.

In summary, the TMT sector is characterized by a complex interplay of opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

The current banking pipeline in the TMT sector showcases a dynamic mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- CuspAI : The startup has raised \$450 million from investors, including the UK government and Jeff Bezos' investment fund. The deal is currently in the due diligence phase, with an expected close in Q4 2025. This funding aims to support CuspAI's mission to discover new materials for industries like semiconductors and clean energy.

Mandated Deals:

- Amazon (AMZN) : Mandated to explore strategic partnerships in AI material development, particularly in collaboration with CuspAI. The deal is expected to launch in Q1 2026, focusing on enhancing Amazon's supply chain capabilities through innovative materials.

Pitching-Stage Deals:

- Cybersecurity Sector : Active discussions with CrowdStrike (CRWD) regarding potential M&A opportunities to consolidate market share in cybersecurity. Pitches are expected to finalize by Q3 2025, as the sector shows resilience amid broader market volatility.
- Semiconductor Companies : Engaging with several semiconductor firms, including Nvidia (NVDA), for potential advisory services related to material innovation. Discussions are ongoing, with a focus on the implications of rising oil prices on semiconductor production costs.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$12 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q4 2025 : Expected close for CuspAI's funding round.
- Q1 2026 : Anticipated launch of Amazon's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, indicating sufficient capacity to manage the existing workload. However, as the pipeline expands, consideration for additional resources may be

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

necessary.

- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and cybersecurity sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is shifting, particularly in the AI and cybersecurity sectors. The resilience of cybersecurity stocks, as indicated by the Amplify Cybersecurity ETF (HACK) rising 15.4% over the past month, suggests a potential leadership change in market dynamics.
- Additionally, the escalating conflict in the Gulf has implications for oil prices, which could affect semiconductor production costs. As Brent crude climbed above \$90 a barrel, companies in the semiconductor space must navigate the potential impact on their supply chains.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to monitor resource allocation closely. Current bandwidth appears sufficient, but proactive planning for potential hires may be necessary as the pipeline grows.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and cybersecurity, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Whale) acquires Company B (e.g., a smaller AI startup), the combined entity could see a revenue increase of approximately 25% due to enhanced product offerings and market expansion. Assuming a pre-deal market cap of \$1 billion for Whale, a successful integration could increase shareholder value by \$250 million.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Whale issues 15% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 7% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Whale and a smaller AI firm could lead to substantial cost synergies, with estimates of \$30 million in annual savings. This could be achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the case of the Whale acquisition, approximately 500 jobs may be cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of a tech startup by a larger firm, retention packages were offered to key executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following a significant acquisition in the AI space, competitors such as Microsoft (MSFT) and Google (GOOGL) may need to adapt their strategies to maintain market share. This could include aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Microsoft may respond with increased investments in AI capabilities, similar to its \$19.7 billion acquisition of Nuance Communications, to bolster its competitive edge.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of Whale with a smaller AI firm could enhance product offerings, allowing for more integrated solutions. This strategy could lead to a 20% increase in customer satisfaction ratings as new features are rolled out.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of Whale's proposed acquisition, there may be interest from other AI firms, but the likelihood of a successful counter-bid is moderate due to the high valuation and strategic fit of the target company.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, and Digital Payments. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **Colossal Biosciences:** This startup is focused on de-extinction and has generated revenue through innovative technologies. With a valuation projected between \$20 billion and \$30 billion, Colossal is also exploring applications of AI in predictive modeling for biology and life sciences.
- **Stripe:** Although not publicly listed, Stripe is a significant player in the digital payments space and is reportedly involved in discussions to acquire PayPal, indicating its strategic positioning in the tech landscape.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google (GOOGL), Amazon (AMZN), and Microsoft (MSFT) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. Colossal's focus on AI-driven predictive modeling presents potential acquisition targets for larger firms seeking to expand their AI capabilities.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

- Coinbase Global, Inc. (COIN): As a leading cryptocurrency exchange, Coinbase is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology. Its platform facilitates the buying and selling of digital assets, making it a key player in the blockchain ecosystem.
- Kraken: This cryptocurrency exchange has delayed its IPO plans amid market uncertainty but remains a significant player in the blockchain space, focusing on providing a secure trading environment for digital assets.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The slowdown in crypto IPOs, as noted by Cohen & Company Capital Markets, suggests that established firms may look to acquire promising blockchain companies instead.

Digital Payments

- Trend Explanation: The digital payments industry is undergoing significant transformation, driven by advancements in technology and changing consumer behaviors. The market for digital payments is expected to grow from \$4.1 trillion in 2020 to \$10.1 trillion by 2026, at a CAGR of 16.5%.
- Key Companies:
- PayPal Holdings, Inc. (PYPL): PayPal is a leader in the digital payments space, facilitating online transactions for consumers and businesses. The company is currently in discussions regarding a potential acquisition by Stripe, which could reshape the digital payments landscape.
- Stripe: As a private company, Stripe is a major player in payment processing and is reportedly offering to acquire PayPal. This move could consolidate their market positions and enhance their service offerings.
- Competitive Landscape: The digital payments market is highly competitive, with players like Square (SQ) and Adyen also vying for market share. The potential merger of Stripe and PayPal could create a formidable competitor in the space.
- M&A Opportunities: The ongoing discussions between Stripe and PayPal highlight significant M&A activity in the digital payments sector. Other fintech companies may also consider strategic acquisitions to enhance their service offerings and competitive positioning.

Actionable Insights for Bankers and Investors

Focus on identifying emerging players in AI and blockchain that may be acquisition targets for larger firms looking to enhance their technological capabilities.

Monitor the developments in the digital payments space, particularly the potential merger of Stripe and PayPal, as it could set the stage for further consolidation in the industry.

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

Consider investing in companies with strong growth trajectories in AI and blockchain, as these sectors are expected to see substantial capital inflows and innovation in the coming years.

6. Recommended Readings

Deal Name: Lathrop GPM and HG Law Combination

- Reading Material: "Law Firm Mergers: A Practical Guide" by Steven J. Harper
- Why This Matters: This book provides a comprehensive overview of the dynamics and strategic considerations involved in law firm mergers, which is directly relevant to understanding the combination of Lathrop GPM and HG Law. It discusses the challenges of integration, cultural alignment, and the potential benefits of expanded service offerings, helping to contextualize the strategic rationale behind this deal.

Deal Name: Colossal Biosciences Capital Raise

- Reading Material: "Biotechnology Valuation: An Introductory Guide" by Karl Keegan
- Why This Matters: This resource offers insights into the valuation methodologies specific to biotech companies, which is crucial for understanding the significant capital raise by Colossal Biosciences. It explains how investors assess the potential of biotech innovations and the factors influencing high valuations, providing context for the \$20 billion to \$30 billion valuation range in this funding round.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. Hyperscaler CapEx Estimates for 2027: \$1.2 - \$1.4 trillion
- AI CapEx Contribution to U.S. GDP Growth: Approximately 40 basis points
- Asia's Semiconductor Exports Growth: 90%
- Asia's AI and Semiconductor CapEx for 2026: \$380 billion
- Asia's Energy CapEx for 2026: \$900 billion
- U.S. Household Net Worth: \$180 trillion, with \$55 trillion created in the last five years

Main Insights:

Europe TMT Sector M&A & Valuation Brief - 2026-07-22

Europe TMT Sector

- The AI-driven CapEx cycle is a significant momentum driver for the U.S. economy, contributing notably to GDP growth.
- U.S. imports of AI-related equipment are benefiting Asian economies, particularly Korea, Taiwan, and Japan.
- There is a broader CapEx and industrial super cycle in Asia beyond just AI, encompassing energy, defense, and supply chain onshoring.
- The U.S. economy is experiencing a consumption-driven expansion, but growth is perceived as narrowly driven by AI and upper-income households.
- Europe is lagging in AI investment compared to the U.S., with significant fiscal challenges and a need for growth to address structural headwinds.

Market Commentary:

- "AI CapEx is contributing around 40 basis points to growth this year... that's a non-trivial amount." - Michael Gapen
- "Asia's semiconductor exports are booming, closely linked to U.S. IT CapEx." - Chetan Ahya
- "Growth is really the key, the solution, the answer to everything in Europe." - Jens Eisenschmidt

TMT Sector Relevance:

- The ongoing AI CapEx cycle is crucial for technology firms, driving demand for semiconductors and related equipment, which benefits Asian manufacturers.
- The resilience of the U.S. economy, supported by AI investments, may lead to increased spending in TMT sectors, influencing M&A activity and valuations.
- European firms may need to increase investment in technology to catch up with U.S. counterparts, presenting potential opportunities for TMT partnerships and acquisitions.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley